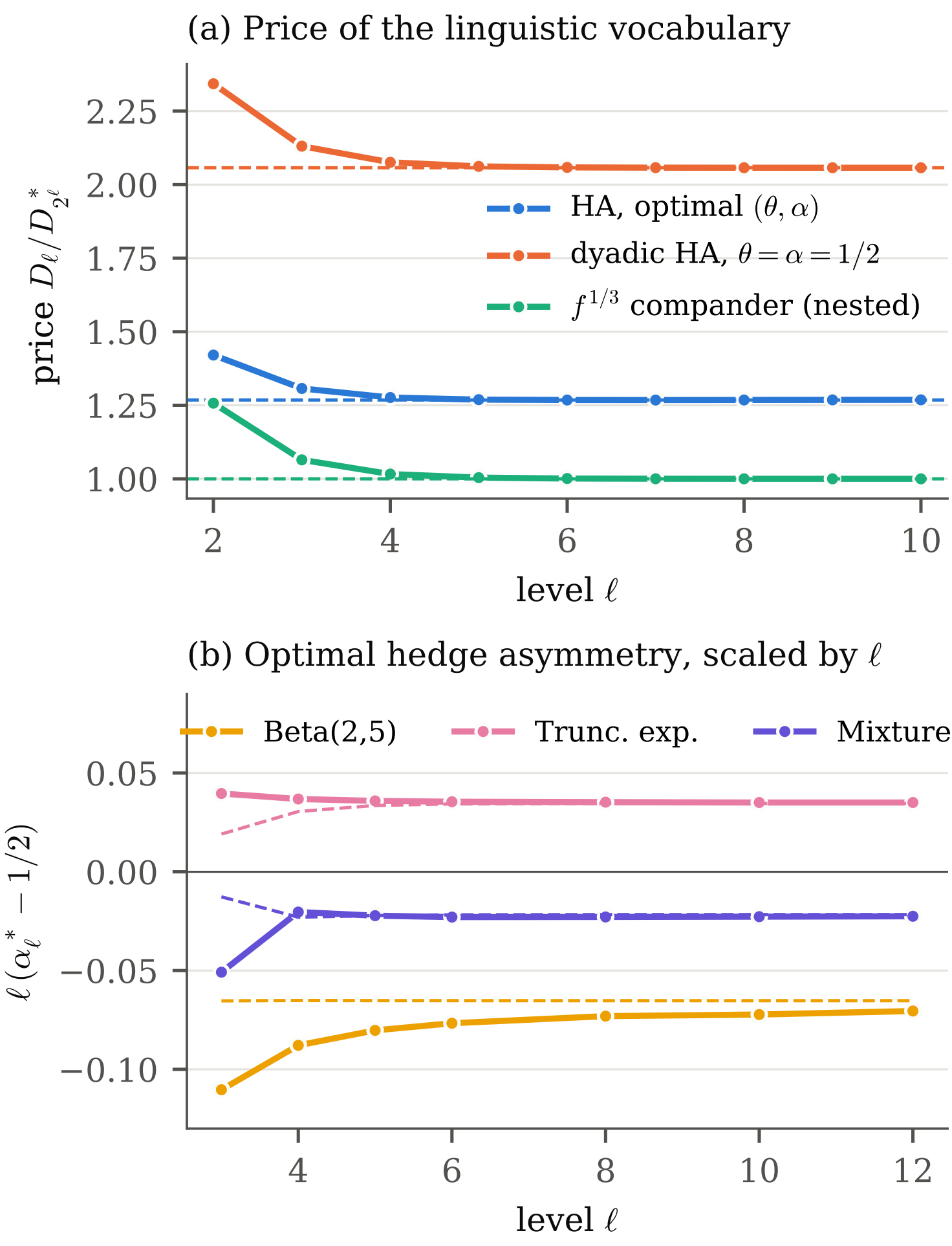
(a) Price of the linguistic vocabulary
price $D_\ell / D^*_{2^\ell}$
2.25
2.00
1.75
1.50
1.25
1.00
HA, optimal (θ, α)
dyadic HA, $\theta = \alpha = 1/2$
$f^{1/3}$ compander (nested)
2
4
6
8
10
level ℓ
(b) Optimal hedge asymmetry, scaled by ℓ
$\ell\,(\alpha^*_\ell - 1/2)$
Beta(2,5)
Trunc. exp.
Mixture
0.05
0.00
−0.05
−0.10
4
6
8
10
12
level ℓ